Lazy Dog Capital — Loan Workflow & Document Map

Two folder trees:

- **`/Templates/`** — the master library. One copy of every blank document, organized by stage. Never touched except to update the master.
- **`/Loans/[Property Address]/`** — one folder per deal, with the same numbered stages. Filled copies live here.

Numbered prefixes keep folders in process order.

Legend: **[HAVE]** = built · **[BUILD]** = gap, not yet created · **[3RD PARTY]** = borrower or vendor supplies it

00 — MARKETING & PRE-DEAL

Always-on collateral. Lives in Templates only, not in per-deal folders.

DOCUMENT	STATUS
Fix & Flip Program Overview / flyer	[HAVE]
Borrower FAQ	[HAVE]
Borrower Guide	[HAVE]
Brand Guide	[HAVE]
Proof of Funds Letter — template	[HAVE]

01 — INTAKE & LOAN PROPOSAL

Flipper submits the web form; it arrives as an email that gets copy-pasted. Eight fields: name, phone, email, property address, purchase price, rehab budget, ARV, months to complete. Those numbers alone are enough to price a basic proposal and send it back.

DOCUMENT	STATUS
Intake email (pasted into the deal file as `Intake.txt` or a saved .eml)	—
Intake auto-reply — live on the website	[HAVE]
Loan Proposal — Fillable	[HAVE]
Loan Proposal cover email — template	[HAVE]
Signed Loan Proposal (returned)	—

Non-binding, expires on its stated date. Rehab budget detail and scope of work are not collected here — they come after the borrower signs back the proposal.

02 — BUDGET, SCOPE & APPLICATION

Borrower signed back the Loan Proposal and wants to move forward. Budget and scope come first — if the numbers don't survive a real budget, there's no point collecting entity documents. No contractor bid is requested; Lewis and Steve price the scope themselves against the submitted budget. No entity, insurance, or bank documents requested at this stage — those are triggered by the Conditional Approval at stage 04.

Sent

DOCUMENT	STATUS
Application & Budget Request email — application link + PDF and budget template attached	[HAVE]
Loan Application — Fillable (declarations; credit authorization now separate) — *can be completed online*	[HAVE]
Credit Authorization & Background Check Consent — **one per principal and guarantor**	[HAVE]
Rehab Budget & Scope of Work — Fillable	[HAVE]

Returned

DOCUMENT	STATUS
Completed Loan Application — signed	—
Signed Credit Authorization — one per principal and guarantor	—
Completed Rehab Budget & Scope of Work	—

03 — UNDERWRITING

Internal only. The real review, now against a verified budget and a completed application. ARV is determined in house. Underwriting ends with a decision to approve, decline, or re-price.

DOCUMENT	STATUS
Internal Loan Processing Checklist — Fillable	[HAVE]
Deal Underwriting Worksheet — ARV, 80% LTV, holdback, down payment math	[HAVE]
Internal budget verification — inside the Underwriting Worksheet	[HAVE]
Comparable sales pull — ARV determined in house	—
Credit / background report	[3RD PARTY]

04 — CONDITIONAL APPROVAL

Underwriting cleared. The Conditional Approval carries the verified numbers, any change from the proposal, and the list of documents the borrower must send. Everything here is issuing it, then collecting and verifying against it.

Issued to borrower

DOCUMENT	STATUS

Conditional Approval cover email	[HAVE]
Conditional Approval — verified numbers, changes from the proposal, conditions list	[HAVE]

Conditions — received and verified

Every item below gets checked off the Conditional Approval as it arrives.

ITEM	STATUS
Certificate of Formation	[3RD PARTY]
Operating Agreement / Company Agreement	[3RD PARTY]
EIN letter (SS-4 / CP 575)	[3RD PARTY]
Certificate of Good Standing, if requested	[3RD PARTY]
Driver's license or state ID — each principal and guarantor	[3RD PARTY]
Bank statements — down payment verification, 2 months	[3RD PARTY]
Proof of funds — closing costs and admin fee	[3RD PARTY]
Executed purchase contract + amendments	[3RD PARTY]
Final rehab budget submitted	[3RD PARTY]
Insurance binder — Lazy Dog as mortgagee & loss payee	[3RD PARTY]
Schedule of Real Estate Owned & Flip Experience	[HAVE]
Conditions follow-up email — what's still outstanding	[HAVE]

05 — CAPITAL PARTNER (PARALLEL TRACK)

Three tracks. 05A happens once per partner. 05B happens once per deal, per partner. 05C picks up any deal Lazy Dog had to self-fund — the Capital Partner Agreement and the funded amount are both per loan. Partners hold standing commitments but review and approve each deal individually.

Lazy Dog can fund a deal on its own, so this track never gates the Conditional Approval or the borrower timeline. It runs alongside stages 04–07 with its own cutoff.

05A — Partner onboarding (once per partner)

DOCUMENT	STATUS
Capital Partner Pitch Document	[HAVE]
Capital Partner FAQ	[HAVE]
Sample Deal Case Study	[HAVE]
Accredited Investor Questionnaire	[HAVE]
W-9 — Capital Partner *(needed for 1099-INT)*	[HAVE]
Partner profile — target amount, preferred deal size, payee details, wire instructions	[HAVE]

W-9 must name the actual payee — the same name that appears on the Collateral Assignment and receives the wire:

INVESTING AS	W-9 IN THE NAME OF	TIN

Individual	the individual	SSN
LLC or trust	that entity	EIN
Self-directed IRA	**the custodian, FBO the account** — not the investor	custodian's EIN

If the W-9 name, the Collateral Assignment payee, and the wire recipient ever disagree, stop and reconcile before funding. Sending a 1099-INT to an SDIRA investor personally creates a taxable event they were specifically trying to avoid.

05B — Deal offering (per deal, per partner)

Opens once underwriting clears — same trigger as the Conditional Approval.

Offered

DOCUMENT	STATUS
Capital Partner Deal Summary — property, amount, return, expected time frame, position	[HAVE]
Deal offering cover email	[HAVE]

Committed

DOCUMENT	STATUS
Commitment — partner replies to the offering email	—
Capital Partner Agreement — **per deal, per partner**	[HAVE]
Wire instructions letter — funds due 24 hrs before closing	[HAVE]
Wire receipt confirmation	—

At closing

DOCUMENT	STATUS
Collateral Assignment of Note and Deed of Trust — records immediately after the Deed of Trust	[HAVE]

If no partner commits before the cutoff

ACTION	STATUS
Offer to the next partner on the list	—
Lazy Dog funds the deal in full — **as a bridge, not an endpoint**	—
Deal moves to 05C for post-closing assignment	—

Capital cutoff date. A commitment must be in hand by a stated date — 5 business days before target closing. After that, Lazy Dog funds it and the deal closes on time. Without a cutoff, a partner who is "thinking about it" holds a closing hostage.

05C — Post-closing assignment (self-funded deals)

Lazy Dog's capital is the constraint on deal volume, not deal flow. Every self-funded loan is offered for assignment as soon as possible after closing so the capital can be recycled into the next deal.

How it differs from 05B

	PRE-CLOSING (05B)	POST-CLOSING (05C)
Collateral Assignment records	immediately after the Deed of Trust	separately, when the partner funds
Partner's return begins	closing date	their funding date
Wire goes to	title company	Lazy Dog, as reimbursement
What the partner sees	projected deal	**seasoned deal** — work completed, draws taken, payment history

Documents

DOCUMENT	STATUS
Capital Partner Deal Summary — seasoned version, with progress and payment history to date	[HAVE]
Commitment — partner replies to the offering email	—
Capital Partner Agreement — per deal, per partner	[HAVE]
Wire instructions — funds to Lazy Dog as reimbursement	[HAVE]
Collateral Assignment of Note and Deed of Trust — **recorded when the partner funds**	[HAVE]
Recording Information Letter to Capital Partner	[HAVE]

Watch: the recorded Collateral Assignment must show no intervening lien between the Deed of Trust and the assignment. Run a current lien search before recording a post-closing assignment — a mechanic's lien filed during construction would sit ahead of it.

A seasoned deal is easier to sell. Demo done, draws performing, payments on time. Worth positioning that way rather than as leftover inventory.

Investor-facing rules (apply to everything in 05A and 05B)

- The borrower's interest rate appears **nowhere**, and the Promissory Note is not enclosed
- No "term" language — use "expected time frame"
- Priority stated as **paid first / paid next / paid last**, not loss absorption
- No reference to any specific past deal by address

06 — PRE-CLOSING

Title ordered, documents drafted, nothing signed yet.

DOCUMENT	STATUS
Cleared to Close email — closing details, what to bring, funds due	[HAVE]
Closing Worksheet — Fillable (drives the merge)	[HAVE]

Title commitment (legal description comes from Schedule A)	[3RD PARTY]
Closing Instructions to Title Company	[HAVE]
Merge Masters — Note, Deed of Trust, Personal Guarantee, Business Purpose Affidavit, Loan Proposal, Payment Instructions	[HAVE]
Internal Loan Processing Checklist (Section 4)	[HAVE]

07 — CLOSING

Final tokenized packet, no leftover placeholders. Signature lines, notary blocks, and bank details go out blank.

Prepared by Lazy Dog and delivered to the title company

DOCUMENT	STATUS
Promissory Note	[HAVE]
Deed of Trust — *recorded*	[HAVE]
Personal Guarantee — one per principal	[HAVE]
Business Purpose & Non-Homestead Affidavit	[HAVE]
Payment Instructions *(was ACH Authorization)*	[HAVE]
Loan Proposal *(merge master)*	[HAVE]
W-9 — Borrower entity	[HAVE]
W-9 — each Guarantor individually	[HAVE]
Collateral Assignment — *recorded, CP deals only*	[HAVE]
Closing Instructions to Title Company	[HAVE]

Funding

ITEM	STATUS
Capital Partner wire received — 24 hrs before closing *(pre-closing CP deals)*	—
Settlement statement reviewed and **approved in writing** by Lazy Dog	—
Lazy Dog funds the at-closing disbursement only — **holdback is not wired to escrow**	—
Wire confirmation	[3RD PARTY]

Recording sequence: seller's deed → Deed of Trust → Collateral Assignment, with no intervening instrument between the last two.

08 — POST-CLOSING

DOCUMENT	STATUS
Recorded Deed of Trust	[3RD PARTY]
Recorded Collateral Assignment	[3RD PARTY]
Lender's title policy	[3RD PARTY]
Recording Information Letter to Capital Partner *(within 1 week)*	[HAVE]
Welcome email — payments, draws, maturity	[HAVE]

09 — SERVICING

Recurring. Sub-folder by month or by draw.

DOCUMENT	STATUS
Draw request — **online form** at `lazydogcapital.com/resources/draw-request`	[HAVE]
Draw Inspection Report	[HAVE]
Insurance renewal confirmation	[3RD PARTY]
Renewal & Extension Agreement — papers the 3-month extension	[HAVE]
Maturity Reminder email — 60 / 30 days out	[HAVE]

10 — DEFAULT (ONLY IF NEEDED)

Two paths diverge here. Foreclosure is the default path. The deed in lieu is the exception — used only when the property is underwater, the borrower is cooperative, and no other creditors are circling. The Acceptance Checklist decides which path a deal takes.

10A — Notices (both paths)

DOCUMENT	STATUS
Notice of Default and Opportunity to Cure	[HAVE]
Notice of Acceleration	[HAVE]
Capital Partner default notification letter	[HAVE]

10B — Foreclosure (default path)

DOCUMENT	STATUS
Notice of Trustee's Sale	[BUILD — attorney-prepared]
Trustee's Deed	[3RD PARTY — attorney/trustee]
Credit Bid Worksheet	[HAVE]
Capital Partner post-sale accounting	[HAVE]

Texas non-judicial foreclosure: 20-day cure notice, 21-day notice of sale, sale on the first Tuesday. Roughly 50–60 days. Produces clean insurable title and establishes value as a matter of law under BFP v. Resolution Trust.

10C — Deed in Lieu of Foreclosure (exception path)

`Internal/` — never sent to borrower

DOCUMENT	STATUS
Deed in Lieu Acceptance Checklist	[DRAFT — attorney review]
Workout Worksheet (token source)	[DRAFT — attorney review]
Current lien search — abstractor, attorney, or county clerk	[3RD PARTY]
In-house as-is valuation and cost-to-complete estimate	[BUILD]
Photo/video condition documentation	—

Capital Partner written consent to accept the deed	[HAVE]

Sent to borrower

DOCUMENT	STATUS
Cover Letter — deed in lieu offer	[DRAFT — attorney review]
Itemized Total Debt statement	[HAVE]
Settlement and Release Agreement *(incl. 12-month equity true-up, 5% disposition fee)*	[DRAFT — attorney review]
Estoppel Affidavit + Schedule 1 — sworn, notarized	[DRAFT — attorney review]
Special Warranty Deed in Lieu — notarized, **recorded**	[DRAFT — attorney review]
Bill of Sale and Assignment + Schedules A/B/C	[DRAFT — attorney review]

Abandoned — attorney context only

DOCUMENT	STATUS
Conditional Deed in Lieu Agreement *(sign-at-closing approach, rejected)*	[DRAFT — not for use]

10D — Post-acceptance filings (deed in lieu path only)

ITEM	STATUS
Special Warranty Deed recorded — grantee address on face, Tex. Prop. Code § 11.003	—
Release of Lien NOT recorded — Deed of Trust lien preserved for the junior-lien remedy	—
Vacant/renovation insurance bound effective the recording date	[3RD PARTY]
IRS Form 1099-A	[BUILD — form]
IRS Form 1099-C, if deficiency waived	[BUILD — form]
County appraisal district — owner and mailing address update	—
HOA notification, if applicable	—
Capital Partner notice of completed conveyance	[HAVE]
True-up deadline calendared *(recording + 12 months)*	—
True-Up Summary Statement at resale	[HAVE]

Standing gate: the entire 10C packet requires Texas real estate attorney review before use on any deal.

11 — PAYOFF & RELEASE

Triggered by a payoff request from the title company handling the borrower's sale or refinance.

DOCUMENT	STATUS
Payoff request from title company	[3RD PARTY]
Payoff Statement	[HAVE]
Payoff funds received	—

Release of Lien — **recorded**	[HAVE]
Release of Collateral Assignment — **recorded**, within 10 business days *(CP deals)*	[HAVE]
Capital Partner final payoff statement — principal + accrued return, then wire	[HAVE]
Closed loan file sign-off	[HAVE]

RECURRING

Statements & tax reporting

Recurring across all active loans, not tied to a single stage.

Monthly

DOCUMENT	TO	STATUS
Loan Statement — balance, days, daily rate, interest	Borrower	[HAVE]
Capital Partner Statement — balance, return accrued and paid, project status	Capital Partner	[HAVE]

Annual

DOCUMENT	TO	DEADLINE	STATUS
Form 1099-INT — return paid	Capital Partner	Jan 31 / IRS by Feb 28 *(Mar 31 e-filed)*	[BUILD]
Form 1099-A — acquisition of secured property	Borrower	Jan 31 / IRS by Feb 28	[BUILD]
Form 1099-C — cancellation of debt, if a deficiency was waived	Borrower	Jan 31 / IRS by Feb 28	[BUILD]

No separate year-end summary goes to capital partners — the 1099-INT is the only year-end document. Keep the per-deal accrual detail internally; you need it to prepare the 1099 anyway.

Payee name on every 1099-INT must match the W-9 and the Collateral Assignment. For a self-directed IRA that is the custodian FBO the account, not the investor personally.

REFERENCE — SETTLED DECISIONS

CAPITAL STACK — SETTLED

Every deal, no exceptions.

LAYER	AMOUNT	NOTES
Borrower down payment	10% of **purchase price**	Their own cash, separate from and on top of the loan
Loan amount	80% of **ARV**	Recorded first lien, Lazy Dog

		Capital LLC as beneficiary
— Capital Partner share	50–60% **of the loan**	Secured by recorded Collateral Assignment, **not** a second lien
— Lazy Dog Capital share	the balance, 40–50% **of the loan**	**Lazy Dog has its own capital in every loan**

All percentages are share of the loan. The borrower's down payment is never in the denominator — it sits on top of the loan, not inside it. The Capital Partner rate tiers are defined against the loan facility, so mixing in the down payment would put a partner in the wrong tier.

Conditional Approval expires 30 days from issue, extendable on request.

Payment schedule — settled. Monthly interest payment **due on the 1st**. Considered **late on the 4th**. The **4.00% late charge applies after the 10th day**. Lazy Dog does not auto-draft — a statement goes out and the borrower sends payment by ACH or through the portal.

Deal math — run in this order. ARV → Loan = ARV × 80% → Down payment = purchase × 10% → **Disbursed at closing = purchase − down payment** → **Holdback = loan − disbursed at closing**. The holdback must be at least the verified rehab budget; if it is not, the deal is short.

Signature convention — settled.

ONE MANAGER SIGNS	BOTH MANAGERS SIGN
Loan Proposal · Conditional Approval · Closing Instructions to Title Company · all cover letters and emails · Draw approvals · Payoff Statement	Promissory Note-related closing documents · Capital Partner Agreement · Collateral Assignment · Personal Guarantee acceptance · Settlement & Release Agreement · Special Warranty Deed acceptance · Notice of Default · Release of Lien · Release of Collateral Assignment

Rule of thumb: if the document creates or releases an obligation of Lazy Dog Capital LLC, both Managers sign. Administrative outputs take one.

Payments — settled. Lazy Dog does **not** auto-draft. Each month a statement goes out and the borrower sends payment by ACH or through the portal. The closing document formerly called "ACH Authorization" becomes **Payment Instructions** and carries no authority to debit the borrower's account.

Points rolled into the loan: borrower may finance the origination points rather than pay at closing, as long as the loan stays under the 80% ARV cap. Rate becomes **12.25%** instead of 12.000%. The 10% down payment is never financed.

CP rate tiers: 45% → 5.5% · 50% → 6.0% · 55% → 6.5% · 60% → 7.0%

Canonical example — Garland reference deal: ARV $320,000 · Loan $256,000 · CP at 55% = $140,800 · Lazy Dog $115,200 ($39,200 at closing + $76,000 holdback) · Rehab estimate $50,000 · Borrower down $20,000

Timing of the CP position is flexible; the co-investment is not. A partner may come in at closing (05B) or after closing by assignment (05C). Either way Lazy Dog retains a funded position for the life of the loan. That co-investment is a genuine selling point and appears in the Deal Summary.

Payment priority: paid first (Capital Partner) · paid next (Lazy Dog return) · paid last (Lazy Dog capital).

INTEREST ACCRUAL CONVENTION — SETTLED

	BORROWER	CAPITAL PARTNER
Day-count basis	**actual/360**	**actual/365**
Daily rate	principal × rate ÷ 360	principal × rate ÷ 365
Accrues on	funds actually advanced	amount funded
Funding day	**counts**	counts
Payoff day	**does not count**	does not count
Effective annual rate	12.167% at a 12.000% nominal rate	equals nominal rate

The borrower's 30-day month works out to exactly 1% of the balance; 31-day months collect more, 28-day months less. The 360/365 spread between the two sides is retained by Lazy Dog and is intentional.

Language to carry into documents: "12.000% per annum, calculated on the basis of a 360-day year and charged for the actual number of days elapsed." Capital partner documents use 365 in place of 360.

Applied to: Promissory Note · Loan Proposal · Conditional Approval · Capital Partner Agreement · Loan Statement · Capital Partner Statement · Borrower FAQ. **Still needs it:** Borrower Guide · Program Overview.

DRAW MODEL — SETTLED

Reimbursement. Borrower pays for the work first, then Lazy Dog reimburses. One exception: an **initial draw of up to $5,000** may be released before work begins, case by case, at Lazy Dog's discretion.

Request basis	**Ad hoc** — borrower requests against completed line items. No fixed milestone schedule.
Minimum draw	**$5,000**
Draw fee	$199 per draw
Submission	**Online form** — `lazydogcapital.com/resources/draw-request`. The fillable PDF is retired.
Proof of payment	**Bank or credit card statement showing the money left the borrower's account.** Receipts and invoices alone are not accepted. Cash withdrawals are acceptable so long as the withdrawal is visible on the statement; Lazy Dog judges whether the money went into the property.
Inspection	**Always in person**, by Lewis or Steve, before any release
Account verification	**Call the borrower by phone to verify their bank account before the first draw**, and again any time account details change
Funding timeline	No stated commitment
Lien waivers	**Not required**

Final draw	Released only **after the project is complete** and passes inspection
Unused holdback	**Borrower may draw the remainder** after completion. The 80% ARV lending limit leaves a 20% equity cushion.

Known exposure — no lien waivers. A bank statement proves the borrower paid their contractor. It does not prove the contractor paid their subs, and unpaid subs are who file liens. Texas mechanic's liens relate back to inception of work, so a late-filed lien can sit ahead of the Deed of Trust. Accepted deliberately; revisit if a lien is ever filed on a deal.

All draw documents built: Welcome email · Draw Inspection Report · online draw form. Draw provisions in the Note and Deed of Trust remain as originally drafted — review with the attorney if the reimbursement model needs papering more explicitly.

PENDING REGENERATION

Done. Loan Proposal (PDF + docx) · Promissory Note · Payment Instructions *(was ACH Authorization)* · Personal Guarantee · Notice of Default · Capital Partner Agreement · Collateral Assignment · Closing Worksheet · Loan Application · Internal Processing Checklist · Loan Statement · Capital Partner Statement · Borrower FAQ.

Still outstanding

DOCUMENT	CHANGES	BLOCKER
Deed of Trust	Chapter 53 notice-forwarding covenant	Attorney should draft the inserted paragraph
Website — `/loan`, `/`, `/faq`	Corrected copy written; Lewis to paste. There is no separate Borrower Guide or Program Overview document — that content lives on the site.	Lewis
Construction Draw Request Form	**Retired** — replaced by the online form at `lazydogcapital.com/resources/draw-request`	—
Borrower Document Checklist	**Retired** — the Conditional Approval owns the conditions list	—

Build scripts saved — `build_loan_proposal.py`, `build_closing_worksheet.py`, `build_loan_application.py`, `build_processing_checklist.py`. Future changes are a line edit and a re-run.

Open question: the trustee is hardcoded as "Robert Roberts" in the Promissory Note and Deed of Trust. Tokenize as `{{TRUSTEE_NAME}}` if it ever varies.

OPEN DECISIONS

None outstanding.

Application intake — settled. The online application at `lazydogcapital.com/apply` produces a record, not a signed PDF. **Credit authorization is handled entirely by the standalone Credit Authorization & Background Check Consent form** — one signed per principal and guarantor, which is where the SSN and date of birth are collected. The credit-authorization language is being removed from the website form.

PER-DEAL FOLDER STRUCTURE

`

/Loans/

1234 Elm St, Garland TX/

01_Intake_Loan_Proposal/

02_Budget_Scope_Application/

03_Underwriting/

04_Conditional_Approval/

05_Capital_Partner/

06_Pre_Closing/

07_Closing/

08_Post_Closing/

09_Servicing/

Draws/

Statements/

10_Default/

Notices/

Foreclosure/

Deed_in_Lieu/

Internal/

11_Payoff_Release/

_Correspondence/

`

`_Correspondence` holds the email thread and anything that doesn't belong to a single stage. Leading underscore keeps it at the bottom.

GAPS SUMMARY — NONE

Every document in the workflow is built.

IRS W-9 (Rev. March 2024) is on hand — store a copy in both `/Templates/05_Capital_Partner/` and `/Templates/07_Closing/`.

Drafted, awaiting Texas real estate attorney review — 7 documents in the stage 10C workout packet, plus 1 abandoned draft retained for context.

Standing gate — sharpened. Per-deal agreements offered to multiple partners who each review and decide is a **series of separate securities offerings**, not one relationship. That materially changes the securities analysis: each deal is potentially its own private placement, with its own exemption, its own filing, and its own general-solicitation constraints. Securities-attorney review is required before any Capital Partner document goes to an investor, and the attorney needs to know the structure is per-deal.